

AN EXAMINATION OF THE REGULATORY FRAMEWORK FOR INITIAL COIN OFFERINGS IN NIGERIA

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Since the first digital currencies were introduced to the investing public, financial regulators, businesses, and consumers have wrestled with comprehending how crypto-assets function, as well as how to employ them in commercial transactions, while at the same time, reducing the risks attached to such innovative instruments. With the spectacular acceleration in exchange rates between crypto-assets such as Bitcoins and Fiat currencies, as well as the increased use of crypto-assets in cross border capital transfers, Crypto-assets appear to have come to stay. As more promoters seek to bring more crypto-assets and allied products into the market space, Initial Coin Offerings have evolved as a mode of fund-raising. Initial Coin Offerings hold the potential for profitable opportunities, whilst posing a significant threat to traditional models of secured asset offerings. Our study suggests that many investors view investing in an Initial Coin Offering as an exciting way participate in the crypto-asset markets at a low cost. However, while market participants evolve models for self-regulation and work towards creating regulatory certainty, there is a need to take a proactive view towards investor protection. This is due to the volatility and over-valuation of this asset class, as well as the risk of crypto-assets being used for fraud, terrorism finance and money laundering. This article reviews developments in the crypto-asset marketplace, evaluating Nigerian regulations that pertain to cryptocurrencies and their transactors against the backdrop of global developments within the crypto-asset space. We examine regulations, rulings, press releases and other documentation related to regulation of this asset class. Our study suggests that the Nigerian regulatory approach, which was initially ambiguous has changed to a more hardline policy, notably the restriction of banks from transacting in crypto-assets. We make recommendations towards a harmonized application of securities laws to ICOs.

Cryptocurrencies are possibly the hottest and most mysterious investment asset class in the global financial market. It also appears to be one of the most controversial, since the price of Bitcoins rose meteorically in 2017 and subsequently crashed. An Initial Coin Offering (ICO) is the process of creating and distributing a cryptocurrency by an issuer (this might be an organization, company, or entrepreneur) with the object of raising capital to finance growth. These cryptocurrencies can be sold on the internet or used in the future to obtain products or services. In the alternative, the investor may speculate on the price of the cryptocurrency, thereby earning profits from the sale of the asset at a higher price in the future.

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Buying into an ICO may appear to the unsophisticated investor as an exciting way to participate in the cryptocurrency and blockchain startup markets. However, these technologically complex investments present attractive opportunities for fraudsters with the intent of defrauding investors².

ICOs have enjoyed substantial investor and media interest, with approximately \$27 Billion as at the end of 2018. These funds are usually raised from unsophisticated speculators, and market participants of dubious origins. Furthermore, of the 902 (Nine Hundred and Two) ICOs issued in 2017, 46% failed during the first half of 2018, giving rise to speculations of scams, Ponzi schemes, and other forms of fraudulent behaviour among promoters.³ This has necessitated the intervention of financial markets regulators in many jurisdictions to protect investors from fraud.

However, the legal framework for ICOs is nebulous, because traditional securities regulation were designed for classical securities that are traded on a stock exchange.⁴ Initial Coin Offerings raise the following legal questions, which need to be answered by regulators and investors alike:

1. Is an ICO a securities offering?
2. Can ICO issuers be viewed as investment professionals, subject to the jurisdiction of financial market regulators?
3. What are the risks of investing in ICO?
4. How do ICOs fit into the existing framework of securities regulation in Nigeria?

Various governments have developed regulatory measures in order to standardize elements of the market and minimize at least some of the volatility. While several governments are still experimenting with a combination of regulatory options, their end goal is the same: to limit fraud, protect consumers, enforce economic sanctions (where necessary), and facilitate the taxation of transactions within the market.⁵

This paper will commence with a brief overview of the historical context in which cryptocurrencies have emerged. The second part of this paper will discuss the development of Initial Coin Offerings (ICOs). The study goes on to analyse the approaches taken by various jurisdictions towards the regulation of ICOs, evaluating these approaches against the generally established regulatory goals of fraud prevention, consumer protection, taxability, and enforceability of economic sanctions. The study proceeds to determine the effectiveness or otherwise of current regulatory measures available in Nigeria and seeks to identify the most effective regulatory policy required to govern Initial Coin Offerings in Nigeria. The study shall conclude by making appropriate recommendations towards a harmonized application of securities laws to ICOs.

² Financial Industry Regulatory Authority (FINRA), 2017 *Initial Coin Offerings: Know the Risks Before You Buy* <https://www.finra.org/investors/alerts/initial-coin-offerings-know-before-you-invest> (Accessed on 14th January 2020)

³ Usman Chohan, 'Initial Coin Offerings (ICOs): Risk, Regulation, and Accountability' (University of New South Wales Discussion Paper Series: Notes On The 21st Century) 2 (Nov. 30, 2017)

⁴ Maume, P; Fromberger, M (2019) Regulation of Initial Coin Offerings: Reconciling U.S. and E.U. Regulation of Initial Coin Offerings: Reconciling U.S. and E.U. Securities Laws *Chicago Journal of International Law* Vol 19: No 2, 549 <https://chicagounbound.uchicago.edu/cjil/vol19/iss2/5> (Accessed on 14th January 2020)

⁵Ryan Farrell., 2015. An Analysis of the Cryptocurrency Industry. *Wharton Research Scholars*, 130.

A Brief History of Cryptocurrencies

The development of cryptocurrencies arose in response to a requirement for efficient, anonymous and rapidly verifiable electronic transactions. This led to the emergence of electronic currency as a medium of commercial exchange.

The earliest recorded digital currency, aptly named DigiCash, was created by an American cryptographer named David Chaum.⁶ While DigiCash generated substantial media attention, the company went bankrupt in 1998. During this period, several other companies, such as PayPal and E-Gold developed alternative internet-based payment solutions. PayPal gave users the ability to transfer money to and from merchants and buyers, respectively, using a seamless peer-to-peer money transfer system. Till date, Paypal has carved a niche in the payment solutions marketplace, becoming one of the most popular means through which individuals and businesses transact online.

In 2009, Satoshi Nakamoto published a white paper that expounded, among other things, the source code, technology and concept of what is now called, blockchain.⁷ Blockchain formed the foundation for the development of new network storage technologies which challenged the prevailing idea of data centralization. One of these technologies was the Bitcoin network. Satoshi Nakamoto, the inventor of the Bitcoin, defines a cryptocurrency (he calls it an *electronic coin*) as a chain of digital signatures. An owner can digitally assign their coin to the next owner and a payee can authenticate the signatures to confirm the chain of ownership.⁸

The success of the Bitcoin led to the development of hundreds of alternative cryptocurrencies such as Ethereum, Ripple, and Litecoin. The emergence of cryptocurrency platforms, exchanges and blockchain-based applications has resulted in a global cryptocurrency industry. This has compelled regulators to either devise new regulatory frameworks or update existing frameworks to deal with this emerging technology.

Cryptocurrencies represent a new form of thinking about money, storing money, transferring money, and just dealing, organizing, and understanding money. To truly understand the cryptocurrency revolution, there is the need to examine the evolution of payments from trade by barter, to the era of intermediaries such as gold and the current era of government issued currencies. A common theme in the different eras is the preference for convenient and transactional modes of payment.⁹

A cryptocurrency is a virtual currency system that functions much like a standard currency, enabling users to provide virtual payment for goods and services free of a central trusted authority.¹⁰ Cryptocurrency transactions are consummated on a public ledger called a *Blockchain*, which allows anonymous users to instantly and securely engage with anyone in the world economically without a bank account or middleman. Cryptocurrencies rely on the transmission of

⁶ Martin Quest 2018 *Cryptocurrency Master Bundle*, New York: Quest Publications 9

⁷ Satoshi Nakamoto. 2009. Bitcoin: A Peer-to-Peer Electronic Cash System. *BITCOIN.ORG* <https://bitcoin.org/bitcoin.pdf> (accessed 10th January 2020), 1.

⁸ Ibid (Note 6)

⁹ Mark Grabowski, 2019. *Cryptocurrencies - A Primer on Digital Money*. New York: Routledge.

¹⁰ Ryan Farrell. 2015. An Analysis of the Cryptocurrency Industry. *Wharton Research Scholars*, 130.

digital information, utilizing cryptographic methods to ensure legitimate, unique transactions. Cryptocurrencies are usually stored in a program called a “wallet”. Electronic wallets may be saved on personal hard drives or on online wallets like Coinbase.

Cryptocurrencies offer many advantages over traditional money. It is a scarce asset, transactions are concluded faster and at lower cost, it is unaffected by jurisdictional boundaries, and it is uncensorable. Investors have found cryptocurrencies useful for hedging against exchange rate risk in traditional currencies. However, cryptocurrency is not without controversy. Terrorists, criminals and hate groups have all utilized cryptocurrency to evade authorities and fund their illicit activities. Market volatility, scams, regulations and other setbacks have created uncertainty and doubt within the cryptocurrency market.¹¹ Like cash or commodities, cryptocurrencies can be lost, stolen or destroyed. Furthermore, being a digital asset, they have the potential to be copied and duplicated. Some cryptocurrency exchanges have experienced cyber-attacks, leading to the theft of their cryptocurrency assets.

Evolutions in cryptocurrency issuance and transaction management have created tremendous opportunities for innovation and development globally. Cryptocurrencies are also uniquely suited to facilitate illicit activities. However, despite the heightened investment interest in cryptocurrencies by retail investors and more sophisticated organisations, many stakeholders and regulators lack a comprehensive understanding of its nature, underlying foundations and theories. Due to the fact that the industry is still young, research on the industry is steadily outpaced by the pace of industry developments, technological progression and increased regulation by governments.

For cryptocurrencies to be sustainable, their legal status must be established. Cryptocurrencies lack intrinsic value; their values are determined purely by the forces of supply and demand. This is unlike fiat currency which derives its value from the issuing government. By their very nature, cryptocurrencies fluctuate dramatically in value, with the risk of financial bubbles developing, leading to price crashes. Due to the absence of any central monetary authority, maintaining price stability of cryptocurrencies is an area of concern for regulators. Furthermore, as virtual currencies are not universally recognized as official means of paying for goods and services, it is critical to develop standardized systems for their use.

The Concept of an Initial Coin Offering

An Initial Coin Offering (ICO) is a fundraising mechanism, whereby crypto-assets created by an issuer, are issued to interested investors. These investors are usually crowd-sourced online and they are issued with crypto-assets in consideration for payment of a specified sum in either fiat money, or another more established crypto-asset. The capital thus raised is used to finance a certain venture, which may or may not be crypto-related.

Every ICO has a stated funding target, suggesting that each token bears a pre-determined price that does not change throughout the offering period. This ensures the supply of the token remains static. Where the funding objective is dynamic, the distribution of the crypto-asset will depend on the

¹¹ Mark Grabowski. 2019. *Cryptocurrencies - A Primer on Digital Money*. New York: Routledge.

amount of funds received, resulting in an increased asset price where there is higher subscription and vice versa.

The principal document used for marketing an ICO is called a ‘White Paper’. This document explains the objective sought to be achieved by the project, the capital required for the venture, and the percentage of the crypto-assets the pioneer investors will get to keep for themselves if the project is successful. Investors contribute to the ICO by transferring their funds to establish a new smart contract that can stockpile their funds and, later, distribute the equivalent value of the new crypto-asset. If the ICO succeeds, the project is executed and the pioneer investors make substantial profits from the sale of their crypto-asset holdings to third party investors. If, however, the ICO is deemed unsuccessful due to insufficient subscription, the funds generated are supposed to be returned to the investors.

The process may be equated to the process for issuing shares to the investing public by way of highly regulated stock exchanges and with the participation of financial market intermediaries. However, the major difference lies in the fact that ICOs are relatively unregulated, when viewed from the perspective of traditional regulation.

Sometimes, an issuer may pre-sell the crypto-asset at a discount to the ICO price, allowing investors buy the crypto-assets prior to the commencement of its official sales. This pre-ICO sale requires the issuers to encode a smart contract to keep the funds separate from proceeds of the official sale.

These sales are typically used for sales promotion or market testing. They also facilitate liquidity through angel investment.¹² However, pre-sales may present an opportunity for unscrupulous individuals to defraud investors by diverting funds from the project for their personal objectives. On the other hand, investors may accumulate large volumes

For any ICO to succeed and generate profits for the issuers, it must garner great reviews from the ICO pre-sale. It would have affiliations with bigger, legitimate companies, and there would generally be positive information available in respect of that company.

Companies and individuals are increasingly considering initial coin offerings (ICOs) for capital raising or investment purposes. While these digital assets and their underlying technology possess the potential for carrying out faster, cheaper, and less scrutable financial transactions, they also convey increased risk, especially in terms of fraud and asset price manipulation. This is due to the novel and relatively less regulated nature of these markets for these assets, as compared with traditional capital markets¹³.

Key differences Between Initial Coin Offerings and Initial Public Offerings

¹² Ibid, (note 6) at page 109-114

¹³ United States Securities and Exchange Commission, *Spotlight on Initial Coin Offerings (ICOs)* Jan. 7, 2020, <https://www.sec.gov/ICO> (Accessed 29th January, 2020)

1. IPOs tend to be used by more established and mature companies¹⁴. These businesses often possess a recognisable brand, a profitable business, strong financials and a positive business record. ICOs on the other hand have found more utility with early stage companies who are in the process of product development, usually creating a new product that works together with the crypto-asset. This facilitates the construction of an associated ecosystem of stakeholders and incentives for early adopters of the product.
2. The issuance of a traditional IPO can be a lengthy process, due to required legal and compliance processes. The promoters of an IPO are usually required by law to issue a prospectus¹⁵. An ICO would usually start by producing a white paper outlining their idea and business strategy, the token rules, the total supply of the currency, how they will be distributed, and other special conditions. The form or issuance of the document is not required by law.
3. The stocks acquired through an IPO represents an ownership stake on the assets and future earnings on the company.¹⁶ Crypto-assets on the other hand, do not grant ownership of the project. Consequently, the investor will claim ownership and usage of the token issued in the ICO but will not have any equity or voting power in the underlying company¹⁷.

The Problem of Initial Coin Offerings

The crypto market is generally divided into two forms of assets, crypto-currencies and crypto-tokens. Tokens, which may represent a debt or equity claim on the issuer, are of different types, which include:

1. **Payment tokens:** Payment tokens, also called cryptocurrencies, are tokens which are proposed to be used for purchasing goods or services within or outside an ecosystem. They are generally viewed as substitutes for traditional or fiat currency, and holders have no claims on the issuers of the cryptocurrency because they are designed to be a means of payment. The issuers may however be viewed as financial intermediaries for anti-money laundering purposes. Bitcoin is the most recognisable payment token. Bitcoin holders have no claim on any asset, foundation, or company. Its value is primarily calculated by reference to how much it can be exchanged to the US Dollar.

¹⁴ <https://www.luno.com/learn/en/article/what-is-the-difference-between-an-ipo-and-an-ico> (Accessed 24th January 2021)

¹⁵ The prospectus represents a legal declaration of its intention to issue its shares to the public, and must include key information about the company and its upcoming IPO to assist potential investors in making an informed decision. **Section 315** of the **Investment and Securities Act, 2007** defines a prospectus as any written or electronic information, notice, advertisement or other forms of invitation offering to the public for subscription or purchase, any shares, debentures or other approved and recognised securities of a company and other issues or scheme;

¹⁶ *Kotoye v. Saraki* (1994) N.W.L.R (Pt. 357) 414 at 467. See also Duru, Onyekachi, (2011) *Shares and Class Rights in Nigeria's Company Law: An Appraisal*. Available at SSRN: <https://ssrn.com/abstract=2117580> or <http://dx.doi.org/10.2139/ssrn.2117580> (Accessed 24th January 2020)

¹⁷ www.tradimo.com **ICO vs IPO - What is better for companies and shareholders?** <https://learn.tradimo.com/cryptocurrencies/ico-vs-ipo-what-is-better-for-companies-and-shareholders> (Accessed 24th January 2021)

2. **Utility tokens:** Utility tokens are crypto-assets which are envisioned to offer or confer a right to use in respect of a digital or non-digital service, using a blockchain-based infrastructure for transaction validation¹⁸. The issuance of this category of crypto-asset may not be considered a security offering, provided, the sole purpose of the asset is to confer digital access rights to an application or service. However, where the design of a utility token has an investment purpose at the point of issue, it may be treated as a security.
3. **Asset tokens:** Asset tokens represent a debt or equity claim on the issuer. These claims may include the right to participate in company earnings or capital appreciations arising from the issuer's business activities. These tokens are comparable to equities, bonds or derivatives. Tokens which facilitate the trading of physical assets on the blockchain also fall into this class¹⁹. An example of an asset token is the Royal Mint Gold (RMG) coin²⁰ offered by the Royal Mint Bullion Company. The coin is a digital representation of gold stored in the Royal Mint vault. Each RMG token represents 1g (one gram) of gold stored in the Royal Mint's vault. RMG holders have full title to their gold at all times. Several jurisdictions consider asset tokens to be securities.
4. **Stablecoins:** A "stablecoin" refers to cryptocurrencies whose value is tied to an external asset, such as the U.S. dollar or precious metals. This stabilizes the price of the cryptocurrency and mitigates against price fluctuations²¹. Stablecoins either give holders a contractual claim against the issuer (a redemption claim) or confer direct ownership rights on the underlying asset.

It should be noted that some crypto-assets fall under multiple categories, and some tokens may be used in different ways from what the issuers intended at the beginning. For instance, Bitcoin was initially designed as a payment system token, however, it has been traded like a traditional financial asset.

A crypto-asset can have capabilities beyond serving as a unit of value intended for commercial exchange - it can represent any asset or functionality desired by the developer²². Each token is created as a smart contract (a set computerized transaction protocols that execute the terms of a contract without additional human intervention), with each token being governed by a single, unique governing contract. By way of clarification, a smart contract is a self-executing contract with the terms of the agreement between buyer and seller being directly written into lines of computer code. On the other hand, crypto-currencies are virtual currencies which serve as

¹⁸ ibid note 39

¹⁹ Ibid, note 39

²⁰ Partz, Helen (Jan 31, 2018), UK's Royal Mint Launches Gold-Backed Cryptocurrency, <https://cointelegraph.com/news/uks-royal-mint-launches-gold-backed-cryptocurrency> (Accessed 30th January 2021)

²¹ Coindesk.com What are Stablecoins? <https://www.coindesk.com/what-are-stablecoins> (Accessed 30th January 2021)

²² Massey, Rob; Darshini, Dalal; Asha, Dakshinamoorthy Deloitte *Initial Coin Offering: A new paradigm* <https://www2.deloitte.com/content/dam/Deloitte/ru/Documents/risk/deloitte-blockchain-initial-coin-offering.pdf> (Accessed 23rd January 2021)

substitutes for fiat currencies²³. These crypto-currencies are pieces of computer code, or “smart contracts,” that control the transfer of funds or assets between parties, and they are stored on a decentralized ledger, either on a blockchain specifically created for the ICO or on a pre-existing blockchain²⁴.

Initial coin offerings of crypto-assets have gained popularity as an innovative mode of start-up fundraising, powered by a union of blockchain technology, new wealth, and entrepreneurship²⁵. It is estimated that more than 900 entities have raised close to \$30 billion from investors through issuing crypto-tokens or coins.²⁶ This has enabled these entities to bypass regulations governing the issuance and sale of financial securities and investment assets²⁷.

Crypto-assets offer remarkable prospects for innovation, but are also distinctively suited to facilitate illicit behavior. An effective regulatory framework should facilitate the innovative potential, whilst simultaneously disrupting cryptocurrencies’ criminal utility²⁸.

The ICO process is outlined in detail by Massey, Darshin, and Dakshinamoorthy²⁹:

To participate in a token sale, the process can be complicated if you are new to the market. All token sales request cryptocurrencies – primarily either Ether or Bitcoin – in payment for the tokens. Fiat currency is generally not accepted. Given that most token sales are for Ethereum based Dapp tokens using the ERC-20 standard, Ether is the most common method of payment. A buyer must first purchase ETH or BTC, if s/he does not already own some. This can be done most easily through a reputable exchange for a fee (e.g. Coinbase, Kraken, Gemini, etc.). Once purchased, ETH or BTC is held in a wallet created when the buyer signed up on the exchange. To participate in a token sale, the buyer must transfer the ETH or BTC from the exchange wallet to his or her own ERC-20 compatible wallet (e.g. imToken, MyEtherWallet, Parity, Mist, etc.). From there, the buyer should follow the token sale instructions published by the company to send their ETH or BTC to the specified address.

Can an ICO be viewed as a Securities Offering?

The legal structure of ICOs present the following challenges:

1. Can an ICO be viewed as a securities offering?
2. Does an ICO need to be registered with financial market regulators?

²³ Bourveau, Thomas; De George E.T; Ellahie, Atif; Macciocchi Daniele (2018) Initial Coin Offerings: Early Evidence on the Role of Disclosure in the Unregulated Crypto Market

<https://pdfs.semanticscholar.org/49fd/5bc9f1d7ae112279ba597feec2162e023de9.pdf> (Accessed 25th January 2020)

²⁴ Malinova, Katya and Park, Andreas, (November 18, 2018). Tokenomics: When Tokens Beat Equity <https://ssrn.com/abstract=3286825> or <http://dx.doi.org/10.2139/ssrn.3286825> (Accessed 25th January 2020)

²⁵ Kastelein, Richard (2017) What Initial Coin Offerings Are, and Why VC Firms Care *Harvard Business Review*

²⁶ coinschedule.com (Please provide a detailed citation)

²⁷ <https://www.coinschedule.com/stats.html> (accessed 25th January 2020)

²⁸ Omri Marian, (2015) *A Conceptual Framework for the Regulation of Cryptocurrencies*, 82 U. Chi. L. Rev. Dialogue 53, <http://scholarship.law.ufl.edu/facultypub/695> (Accessed 20th January 2020)

²⁹ Ibid, note 18 at page 7

3. How do regulators protect investors?

There are significant debates on whether a token constitutes a share of company ownership, or a security interest in the assets of the company, which suggests that a token sale or ICO is similar in nature to an Initial Public Offering, or IPO. In *State v. Gopher Tire & Rubber Co*³⁰, the definition of a security was expanded to include investment contracts. An investment contract was defined as *a contract or scheme for 'the placing of capital or laying out of money in a way intended to secure income or profit from its employment*. In other words, it covers contracts, transactions or schemes whereby an individual is invited by another individual, or a group of individuals (promoter) to invest his money in a common enterprise and is convinced by the representation of the promoter to expect investment profits solely from the efforts of the promoter of that enterprise or an associated third party³¹. It is immaterial whether the investor's interest in the venture is demonstrated by formal certificates or by nominal interests in the physical assets used by the venture in the process of generating the profits³².

As a general rule, a security refers to documents traded for speculation or investment purposes³³. A pivotal legal issue in determining whether an ICO offering can be viewed as a security offering turns upon a determination of whether, under the circumstances, the crypto-asset sales contract constitutes an investment contract. An answer in the affirmative will activate regulatory jurisdiction, as well as registration requirements. A negative answer on the other hand, will lead to such transactions being treated as a bare asset sales contract. This will effectively oust regulatory jurisdiction with respect to ICOs.

In an Initial Coin Offering, crypto-tokens are offered to investors, who provide funding to the promoters. To some writers, these tokens have no intrinsic value and exist as an avenue to evade regulations³⁴. Consequently, ICO's are susceptible to being used to finance projects which would ordinarily not qualify for equity or debt funding. On a positive note, startups that would find it difficult to access traditional financing could still get capital through ICOs if they can attract substantial interest in their business venture. In addition, investors face fewer regulatory restrictions including Know your Customer (KYC), capital sufficiency or tax regulations. It also provides a substantial degree of anonymity.

In the opinion of the author, for an ICO to be defined as a security, its promoters should be offering an opportunity to contribute money for the achievement of a common enterprise which will be managed and may be partly owned by the promoters of the venture, with the investor receiving the right to share in the profits generated by the enterprise at a future time. This implies that each ICO has to be examined on its individual merits and based on the underlying economic realities of each transaction. Consequently, where the crypto-asset does not provide a connection with the capital markets, it should not be the subject of regulation.

³⁰ 146 Minn. 52, 56, 177 N.W. 937, 938

³¹ SEC v. W.J. Howey Co (1946); 328 U.S. 293, 301 <https://supreme.justia.com/cases/federal/us/328/293/>

³² Ibid, note 27

³³ Legal Information Institute, Cornell Law School, <https://www.law.cornell.edu/supremecourt/text/328/293> (Accessed 28th January 2021)

³⁴ Gan, Jingxing (Rowena) and Tsoukalas, Gerry and Netessine, Serguei (2018), Initial Coin Offerings, Speculation, and Asset Tokenization. *Management Science*, Available at SSRN: <https://ssrn.com/abstract=3361121> (Accessed on 23rd January 2021)

In Re: Munchee Inc: A Case Study

Due to the changing features of crypto-assets, any analysis of whether a particular digital asset is a “security” is fact-intensive and must be applied on a case-by-case basis. In *Re Munchee Inc*³⁵, a privately held company developed a plan to raise capital through the creation of a digital token (“MUN” or “MUN token”). This token would be issued on the Ethereum blockchain, and it was intended that the token would be incorporated into its iPhone’s application³⁶. Munchee marketing efforts were targeted at people with an interest in tokens or other digital assets that had created profits for early investors in ICOs.

Between 2017 and 2019, Munchee launched an ICO to offer tokens to the general public. The digital tokens were designed to raise about \$15 million in capital³⁷ so that it could improve its existing application and recruit users for its application and allied services. The United States Securities and Exchange Commission held that tokens issued were securities pursuant to **Section 2(a)(1)** of the **United States Securities Act (1933)**. Consequently, Munchee violated Sections 5(a) and 5(c) of the United States Securities Act (1933) by offering and selling digital tokens which fell within the legal definition of a *security* under United States Federal Laws, without either filing a registration statement with respect to those securities with the US Securities and Exchange Commission, or qualifying for an exemption from registration with the US Securities and Exchange Commission.

According to the Commission, the tokens were “investment contracts”³⁸ by virtue of the principle of the law enunciated in the case of *SEC v. W. J. Howey Co*³⁹. The Commission reasoned that among other characteristics of an “investment contract,” a purchaser of MUN tokens would have had a reasonable expectation of obtaining a future profit based upon Munchee’s in revising its application and creating the MUN “ecosystem” using the proceeds from the sale of MUN tokens. As part of its marketing efforts, Munchee claimed the MUN tokens would appreciate⁴⁰ and stated that the tokens would be traded on a number of exchanges in varying jurisdictions. According to Kastelein, ICOs are the *Wild West of financing*. This is because they sit in a regulatory grey zone. The major regulatory challenges include:

³⁵ Securities Act Release No. 10445, at III.35 (Dec. 11, 2017)

³⁶ The tokens were designed to be Utility tokens (digital currencies meant to be used within an ecosystem)

³⁷ Munchee created 500 million MUN tokens, of which

³⁸ Under Section 2(a)(1) of the US Securities Act, a security includes “an investment contract”. The SEC defined an investment contract as an investment of money in a common enterprise with a reasonable expectation of profits to be derived from the entrepreneurial or managerial efforts of others. See *SEC v. Edwards*, (2004) 540 U.S. 389, 393; *SEC v. W.J. Howey Co* (1946); 328 U.S. 293, 301 see also *United Housing Found., Inc. v. Forman* (1975) 421 U.S. 837, 852-53

³⁹ (1946) 328 U.S. 293 (1946) the Commission states that tokens, coins or other digital assets issued on a blockchain may be securities under US federal securities laws, and, if they are securities, issuers and others who offer or sell them in the United States must register the offering and sale with the Commission or qualify for an exemption from registration.

⁴⁰ Munchee and its agents claimed that the company would run its business in ways that would cause MUN tokens to rise in value. Also, Munchee said it would take some MUN tokens out of circulation in the future, thus creating scarcity and value appreciation. At the same time, a “tier” plan was developed, where the company would pay members for a Munchee App review depending on the amount of the author’s holdings of MUN tokens.

1. Most ICOs don't actually offer equity in start-up ventures; instead, they only offer discounts on cryptocurrencies before they hit the exchanges. A token is not a new way of bringing owners into a business. It is a way of building a user base and pre-selling a part of your product. In turn, the buyer benefits from the increased product value when the product is released.⁴¹ Therefore, they do not fit into the current definition of a security within traditional legal frameworks.
2. ICOs are largely global instruments which are self-regulated through smart contracts hosted on an underlying blockchain. They are funded using cryptocurrencies that are not controlled by any central authority or bank. IPOs are limited to the country of issue and are subject to the legal and regulatory regime devised by that country.
3. ICOs are linked to online cryptocurrency exchanges, and an ICO can be commenced without the underlying crypto-asset being available on exchanges. Consequently, investors can invest in an ICO that has never been listed on an exchange. IPOs on the other hand are traditionally linked to one or more stock exchanges, where the securities are offered and sold to the general public. The securities must also be registered with the local Securities and Exchange Commission. This facilitates liquidity in the security.
4. For an investor to participate in an IPO, they must satisfy strict regulatory requirements. This includes being compliant with KYC (know your customer) and AML (anti money laundering) laws. As a result, individuals or countries that are covered by economic sanctions programs, or under investigation for terrorism financing or cybercrime may not be permitted to participate in an IPO. Anyone can invest in an ICO, and they can even do so anonymously. Currently, no Anti-Money Laundering law or Know Your Customer framework governs the ICO space.
5. The IPO process is usually lengthy and costly, due to the legal and documentary requirements. While IPOs are marketed through the publication of approved prospectuses⁴² information memoranda and engagements between the issuers and the investors, ICOs are primarily marketed online through the publication of highly technical white papers, and issuers have not been known to issue prospectuses. On the other hand, the duration of an ICO is much shorter and far cheaper, depending on the nature of the project. Once a company issues a white paper and a smart contract, they can start a crowdsale of the asset. The question thus arises as to whether a white paper may legally be viewed as a prospectus, for the purpose of protecting the interests of investors

A Conceptual Model for ICO regulation

⁴¹ Ibid, note 18 at page 5.

⁴² Any company offering securities to the public is required to publish a comprehensive document, which is commonly referred to as "prospectus." This document lays out all details regarding the securities and the issuer that might be relevant for making an informed investment decision. Before being published, this prospectus must be approved by the competent national regulator. Investors can demand the return of their investments if registration was not made and an investment prospectus was not published.

Whilst ICO's undoubtedly present great opportunities for investors, the dangers of investing in this asset class have led to violent reactions from regulators in several markets. These actions have ranged from outright bans to issuance of warnings to investors⁴³. However, these regulatory actions have not significantly restrained the interest of the investing public in buying ICOs. The market for crypto-assets has continued to grow in leaps and bounds.

Traditional financial regulatory frameworks rely heavily on regulating traditional financial products issued through traditional financial intermediaries. This is based on the premise that these intermediaries are distinctively situated to identify and disrupt misconduct. Banks and other financial institutions implement KYC processes in order to prevent money laundering and criminal and terrorist financing activity. Tax authorities also use financial Intermediaries as tax-withholding agents. Capital Market Regulators, regulate securities transactions and the related exchanges in order to protect investors from fraudulent business promoters.

On the other hand, the crypto-asset space is designed to facilitate transactions between anonymous parties, without the intervention of market intermediaries. Crypto-assets can take numerous forms and offerings can cover the jurisdictions of different regulators and regulatory regimes. Furthermore, the underlying blockchains are designed to contest government control of monetary policy by disrupting payment systems, and facilitating the avoidance of existing regulatory schemes⁴⁴. If that is the case, traditional financial market intermediaries could become obsolete as regulatory agents⁴⁵. This would require direct regulation of financial market participants. Such regulation would be immensely expensive and difficult, due to the decentralized and anonymous nature of most crypto-assets and their underlying blockchains. This presents regulators with formidable challenges, requiring complex data analysis, concentrated effort and substantial technology upgrades.

However, financial market intermediaries are market-generated constructs, they include exchanges, brokers, dealers, underwriters, Bureau de Change, Money Transfer Operators and clearing houses. They add value to financial markets by connecting buyers and sellers, creating trust, and facilitating transactions between parties who may be geographically dispersed.

Regulators are faced with a significant problem. They have to apply the same set of rules and regulations to ICOs as they apply to classical securities offerings. However, the regulatory status quo in many jurisdictions creates a high level of uncertainty among market players. This is because a substantial amount of the existing rules do not work appropriately, when applied to the financial technology context. Issuers and investors alike have exploited regulatory loopholes to sustain investment activities within the cryptocurrency industry.

⁴³ Edward White & Bryan Harris, South Korea Bans Initial Coin Offerings, Financial Times (Sept. 28, 2017), <http://www.ft.com/content/eb981cd8-9923-37c3-9ec3-e5276b65ee8e> (Accessed 14th January 2020)

⁴⁴ Middlebrook, Stephen T. and Hughes, Sarah Jane (2014) "Regulating Cryptocurrencies in the United States: Current Issues and Future Directions," William Mitchell Law Review: Vol. 40: Iss. 2, Article 11. Available at: <http://open.mitchellhamline.edu/wmlr/vol40/iss2/11> (Accessed 24th January 2021). The writers posit that cryptocurrencies are of special interest to those who value their privacy, whether that desire springs from personal or political views, a desire to evade taxes, or for other nefarious purposes such as money laundering, terrorism, child pornography, or human trafficking.

⁴⁵ Ibid (note 23) at page 57

This study proceeds under the assumption that crypto-asset intermediaries will operate under traditional regulatory models. It is assumed that traditional financial intermediaries may become obsolete in managing transactions related to crypto-assets. It is also assumed that upon the obsolescence of traditional intermediaries, the crypto-asset sector will require the evolution of innovative financial intermediaries to facilitate liquidity within the crypto-asset market. Such intermediaries include exchanges of cryptocurrencies to fiat currencies, cryptocurrency-wallet service providers, and clearinghouses for cryptocurrency transactions.

The general objectives of financial market regulation include:

1. The prevention of fraud and illicit behavior,
2. Consumer protection,
3. Taxability of Transactions, and
4. Enforceability of economic sanctions.

A key element for the achievement of the above objectives is the ability of regulators to identify market participants and transactions related to these market participants. Consequently, this shall form the focus of this paper.

Regulatory approaches to ICO Regulation

Regulators have customarily employed a combination of the following regulatory approaches towards establishing standards that make for a fair and efficient crypto-asset market.

1. Regulation of financial intermediaries and points of intersection between crypto-assets and fiat currencies. These include services that allow individuals convert their cryptocurrencies into fiat currency and vice versa. This will create transparency in token value and the identity of token purchasers.
2. Placing restrictions on the amounts which may be raised through an ICO and requiring transparency of the total number of tokens in circulation and in the sale.
3. Placing a time limit on an ICO issue. This should facilitate consumer protection by maximizing the breadth of regulatory focus at a given time.
4. Adopting regulatory instruments that impose a tax on anonymous transactions within an ICO. This should create an incentive for participants to waive their anonymity.

The Nigerian situation

In Nigeria, The Central Bank of Nigeria (CBN) and the Securities Exchange Commission (SEC)⁴⁶ initially espoused a policy of caution with respect to crypto-assets. The regulators warned the

⁴⁶ Securities and Exchange Commission Nigeria. 2017. Public Notice on Investments in Cryptocurrencies and other Virtual or Digital Currencies <https://sec.gov.ng/public-notice-on-investments-in-cryptocurrencies-and-other-virtual-or-digital-currencies/> (Accessed 21st September 2019). The SEC stated that as at 12th January 2017 none of the persons, companies or entities promoting cryptocurrencies within Nigeria has been recognized or authorized by it or by other

public regarding investing in cryptocurrencies⁴⁷. Both regulators have also prohibited Commercial Banks and other Financial Institutions, as well as capital market operators, from investing in crypto-currencies or carrying on business as a virtual currency exchange.

Central Bank of Nigeria

On 12th January 2017, the CBN released circular No FPR/DIR/GEN/CIR/06/010 which cautioned Deposit Money Banks, Non-Bank Financial Institutions, other financial institutions and the general public on the money laundering and terrorism financing risks associated with virtual currency transactions, Virtual currency exchanges and other institutions that act as nodes in the transactional process⁴⁸. The circular went on to prohibit regulated institutions from:

1. Using, holding, trading or transacting in anyway in virtual currencies
2. Ensure that existing customers, who are virtual currency exchangers, have effective AML/CFT controls that enable them to comply with customer identification, verification and transaction monitoring requirements

The circular went on to direct regulated institutions to carry out the following activities with respect to virtual currency institutions:

1. To immediately discontinue any business relationship with any virtual currency operator where the regulated institution is not satisfied with AML/CFT controls put in place by the virtual currency exchanger or operator.
2. To immediately report any suspicious transactions by these customers to the Nigerian Financial Intelligence Unit

This position was reiterated in another CBN in a Press Release dated February 27, 2018⁴⁹ where it states that *cryptocurrencies such as Bitcoin, Ripples, Monero, Litecoin, Dogecoin, Onecoin, etc and Exchanges such as NairaEx are not licensed or regulated by the CBN. For the avoidance of doubt, dealers and investors in any kind of crypto currency in Nigeria are not protected by law.* The release went on to warn the public that they could lose their money without any legal redress in the event that any of these virtual currency operators collapse or go out of business.

regulatory agencies in Nigeria to receive deposits from the public or to provide any investment or other financial services in or from Nigeria. We are uncertain whether the situation has changed since then.

⁴⁷ Bisi.Akodu, 2019. Cryptocurrency and Government Regulation in Nigeria, *Olisa Agbakoba Legal* <https://oal.law/cryptocurrency-in-nigeria/> (Accessed 21st September 2019)

⁴⁸ Central Bank of Nigeria, Circular to Banks and Other Financial Institutions on Virtual Currency Operations in Nigeria (CBN Circular, 12th January 2017) <file:///G:/Documents/Cryptocurrency%20regulation/AML%20January%202017%20Circular%20to%20FIs%20on%20Virtual%20Currency.pdf> (Accessed 28th February, 2021)

⁴⁹ Central Bank of Nigeria, Virtual Currencies not Legal Tender in Nigeria (CBN Press release , 28th February 2018) <https://www.cbn.gov.ng/Out/2018/CCD/Press%20Release%20on%20Virtual%20Currencies.pdf> (Accessed 28th February, 2021)

On 5th February 2021, the CBN escalated its approach from caution to enforced prohibition. This was ostensibly a reaction to the use of crypto-currencies in funding the #EndSars protests which held between July 2020 and August 2020⁵⁰. The CBN issued a Letter to Deposit Money Banks, Non-Bank Financial Institutions, and other financial institutions⁵¹. This letter reminded regulated institutions that dealing in cryptocurrencies or facilitating payments for cryptocurrency exchanges is prohibited by the CBN. The CBN with immediate effect, consequently instructed all regulated institutions to identify persons or entities transacting in or operating crypto-currency exchanges within their systems and ensure that such accounts are closed immediately.

In response to widespread condemnation of the CBN Directive to close accounts related to virtual currency operators, the CBN issued a press release dated 7th February, 2021 clarifying that the CBN circular of February 5, 2021 did not place any new restrictions on crypto-currencies, given that all banks in the country had earlier been forbidden, through CBN's circular dated January 12, 2017, not to use, hold, trade and/or transact in crypto-currencies. The CBN justified its position by stating that *It is also important to note that the CBN's position on cryptocurrencies is not an outlier as many countries, central banks, international financial institutions, and distinguished investors and economists have also warned against its use. They have all made similar pronouncements based of the significant risks that transacting in cryptocurrencies portend risk of loss of investments, money laundering, terrorism financing, illicit fund flows and criminal activities*⁵².

The Current position of the CBN is that the CBN *has no comfort in cryptocurrencies at this time and will continue to do all within its regulatory powers to educate Nigerians to desist from its use and protect our financial system from activities of fraudsters and speculators*⁵³. This position is based on the following reasons:

1. The use of cryptocurrencies in Nigeria are a direct contravention of the Central Bank of Nigeria Act (2007), which makes the CBN the sole issuer of legal tender in Nigeria. Heere the CBN clarifies the difference between a Central Bank issued Digital Currency and cryptocurrencies. The CBN goes on to state that it only prohibited crypto-currencies that are issued by unregulated and unlicensed entities. It does not prohibit Central Bank issued Digital Currencies.
2. Crypto-currencies are a “gambling device” given that they are mostly valuable, not as a means of payment; but as speculative instruments. The extreme price volatility of crypto-currencies makes them impracticable for use as a means of payment. Unlike fiat money and traditional securities, cryptocurrencies do not have any intrinsic value and do not generate returns by themselves. Its price also does not reflect the innovative and productive activity of the issuers

⁵⁰ When Feminist Coalition stopped taking donations its summary of accounts showed a bitcoin balance that accounted for around 40% of the \$387,000 raised in total.

⁵¹ Central Bank of Nigeria, Letter to Deposit Money Banks, Non-Bank Financial Institutions and Other Financial Institutions on Virtual Currency Operations in Nigeria (CBN Circular, 5th February 2021) (Accessed 28th February, 2021) <https://www.cbn.gov.ng/Out/2021/CCD/Letter%20on%20Crypto.pdf> (Accessed 28th February, 2021)

⁵² Central Bank of Nigeria, Response to Regulatory Directive on Cryptocurrencies (CBN Press Release, 7th February 2021) <https://www.cbn.gov.ng/Out/2021/CCD/CBN%20Press%20Release%20Crypto%2007022021.pdf> (Accessed 28th February, 2021)

⁵³ Ibid (note 54) at page 5

3. Transacting in crypto-currencies portend risk of loss of investments, money laundering, terrorism financing, illicit fund flows and criminal activities. Furthermore, the CBN is uncomfortable with the anonymity of transacting parties and the opacity of crypto-currency transactions.

Securities and Exchange Commission

Section 13 of the **Investment and Securities Act, 2007** appoints the Nigerian Securities and Exchange Commission as the apex regulatory organisation of the Nigerian capital market. This includes the power to regulate investments⁵⁴ and securities business in Nigeria. As a result, the SEC has assumed jurisdiction over any person, (individual or corporate) whose activities involve any aspect of Blockchain-related and virtual digital asset services⁵⁵. Activities specifically regulated by the SEC include *Digital Assets Token Offering (DATOs)*, *Initial Coin Offerings (ICOs)*, *Security Token ICOs* and *other Blockchain-based offers of digital assets within Nigeria or by Nigerian issuers or sponsors or foreign issuers targeting Nigerian investors*.

Section 315 of **Investment and Securities Act (2007)** defines "securities" to mean

- (a) Debentures, stocks or bonds issued or proposed to be issued by a government;
- (b) Debentures, stocks, shares, bonds or notes issued or proposed to be issued by a body corporate;
- (c) Any right or option in respect of any such debentures, stocks, shares, bonds or notes; or
- (d) Commodities futures, contracts, options and other derivatives, and the term securities in this Act includes those securities in the category of the securities listed in (a) - (d) above which may be transferred by means of any electronic mode approved by the Commission and which may be deposited, kept or stored with any licensed depository or custodian company as provided under this Act

In 2019, The SEC tasked a *10-Man Fintech Roadmap Working Group Committee* with the responsibility of developing a supportive framework for blockchain and virtual assets regulation. On 14th November, 2020 the SEC released the *Statement On Digital Assets And Their Classification And Treatment*⁵⁶. The statement was designed to create standards that encourage ethical practices that ultimately make for a fair and efficient market.

According to the statement, the Commission classifies virtual crypto assets as securities, unless proven otherwise. If, pursuant to an initial assessment filing by the Issuer or sponsor, the SEC determines that a digital asset is not a security, the asset would not fall within the regulatory purview of the SEC. However, where the SEC finds that the virtual assets are definitely securities (not structured to be exclusively offered other exempt methods), then the issuer or sponsor will be mandated to register the asset with the SEC. The commission places the burden of proving that the

⁵⁴ The Investments and Securities Act does not define an Investment Contract.

⁵⁵ Ibid, note 49 Such services include, but are not limited to reception, transmission and execution of orders on behalf of other persons, dealers on own account, portfolio management, investment advice, custodian or nominee services,

⁵⁶ Securities and Exchange Commission (2020) *Statement On Digital Assets And Their Classification And Treatment* <https://sec.gov.ng/statement-on-digital-assets-and-their-classification-and-treatment/> (Accessed 30th January, 2021)

crypto assets⁵⁷ proposed to be offered are not securities and therefore not under the jurisdiction of the SEC. The Commission outlines how it will consider different crypto assets:

1. Non fiat virtual currencies will be treated as commodities⁵⁸ if traded on a Recognized Investment Exchange and/or issued as an investment.
2. Utility Tokens will be treated as commodities. However, spot trading⁵⁹ and transactions in Utility Tokens do not fall under SEC purview unless conducted on a Recognized Investment Exchange and therefore subject to Part E of SEC Rules and Regulations.
3. Asset or Security Tokens will be deemed to be securities as defined in Section 315 of the ISA 2007. The regulatory purview of the SEC extends to cover all financial services activities⁶⁰ in relation to Security Tokens and all Market intermediaries and market operators dealing or managing investments in Security Tokens.
4. Derivatives and Collective Investment Funds of Crypto Assets, Security Tokens and Utility Tokens will be regulated as Specified Investments under the ISA & SEC Rules and Regulations⁶¹.

The registration process will involve a two-pronged approach:

1. An initial assessment filing to satisfy the burden of proof and
2. A registration filing which shall be made by the issuer or sponsor, where the regulator determines that the token offerings are security offerings

From the above, it appears that not only public companies are permitted to issue securities to the public⁶². This sidesteps the provisions of **Section 22 (5) of the Companies and Allied Matters Act 2020** which provides that a private company shall not, unless authorised by law, invite the public to:

- (a) Subscribe for any share or debenture of the company; or
- (b) Deposit money for fixed periods or payable at call, whether or not bearing interest.

⁵⁷ Ibid, note 48. The SEC broadly defines “Crypto Asset” as a digital representation of value that can be digitally traded and functions as (1) a medium of exchange; and/or (2) a unit of account; and/or (3) a store of value, but does not have legal tender status in any jurisdiction. A Crypto Asset is – neither issued nor guaranteed by any jurisdiction, and fulfils the above functions only by agreement within the community of users of the Crypto Asset; and Distinguished from Fiat Currency and E-money.

⁵⁸ Rule 256 of the SEC Rules and Regulations 2013 defines a commodity to include agricultural produce, livestock and its derivative products, extractive minerals and all other goods and articles, except all services, rights and interests in which contracts for future delivery are presently or in the future dealt in;

⁵⁹ A spot trade refers to the purchase or sale of a foreign currency, financial instrument, or commodity for instant delivery on a specified spot date.

⁶⁰ Such as operating primary/secondary markets, dealing/ trading / managing investments in or advising on Security Tokens

⁶¹ Ibid, note 60

⁶² Sections 22(5) and 543 of Companies and Allied Matters Act Cap C20 LFN 2004 (as amended)

In the absence of any statement by the SEC on the procedure for registration, it stands to reason that the process prescribed in **Rule 279 (2)** of the **SEC Rules and Regulations 2013**, will apply. The Rule provides that a security shall be registered with the Commission by the issuer filing an application on Form S.E.C. 6 as provided in schedule III to these rules and regulations accompanied by:

- (a) A copy of the resolution(s) by the general meeting authorizing the offer and certified by the Corporate Affairs Commission where a photocopy is forwarded it shall be certified by the Corporate Affairs Commission or the company secretary;
- (b) 2 copies of the Memorandum and Articles of Association (including amendments thereto) of the issuer certified by the Corporate Affairs Commission;
- (c) A copy of certificate of incorporation of the issuer certified by the by the CAC. Where a copy has already been filed with the Commission a photocopy of the certificate of incorporation certified by the company secretary may be forwarded;
- (d) A signed copy of audited accounts for the preceding five (5) years or number of years for which the issuer company has been in operation, (if less than five (5) years) or audited statement of affairs (in the case of a new company) disclosing the following information:
 - i. financial statements;
 - ii. date of incorporation;
 - iii. authorized share capital;
 - iv. paid-up capital which shall not be less than the minimum subscription level prescribed by the Companies and Allied Matters Act (C.A.M.A.);
 - v. profile of promoters/directors;
 - vi. profile of management staff;
 - vii. a summary of the objectives and business of the company;
 - viii. The latest audited accounts shall not be more than nine months old for corporate bodies or twelve months old for states, local governments and Federal Government agencies and Supranational bodies.
- (e). 2 copies each of the draft prospectus/rights circular/placement memorandum and abridged prospectus;
- (f) 2 copies of the draft trust deed, where applicable;
- (g) 2 copies of the draft underwriting agreement and sub-underwriting agreement, where applicable;
- (h) 2 copies of draft vending agreement, between issuer and the issuing house. Where there are joint issuing houses, the terms of their relationship should be incorporated in the vending agreement;

- (i) Letters of consent given by the parties to the issue, sworn to before a Notary Public or Commissioner for Oaths. Where the consent is contained in a power of attorney, it shall be executed and stamped.
- (j) Evidence of technical agreement (if any) reached between the issuer and technical partner(s), advisers/consultants;
- (k) A copy of C.A.C form containing the particulars of directors, certified by Corporate Affairs Commission.;
- (l) A copy of the mandate letter by the issuer to the issuing house;
- (m) Evidence of payment of registration and filing fees;
- (n) A certificate of exemption from a recognized stock exchange (where applicable);
- (o) Where applicable, a feasibility report on the project to be financed (for debt issue);
- (p) State government official gazette or local government by-law containing the instrument authorizing the issue of the bond (applicable to State and Local government bonds);
- (q) Irrevocable letter of authority, otherwise known as irrevocable standing payment order (I.S.P.O.) applicable to state and local government bonds;
- (r) Rating report by a registered rating agency (applicable to a debt instrument);
- (s) Any other document required by the Commission under these rules and regulations.

In line with the position taken by the Central Bank of Nigeria as stated above, The SEC issued a press release dated 11th February 2021⁶³. It stated that *The SEC made its statement at the time, to provide regulatory certainty within the digital asset space, due to the growing volume of reported flows. Subsequently, in its capacity as the regulator of the banking system, the CBN identified certain risks, which if allowed to persist, will threaten investor protection, a key mandate of the SEC, as well as financial system stability, a key mandate of the CBN.*

In light of these facts, we have engaged with the CBN and agreed to work together to further analyse, and better understand the identified risks to ensure that appropriate and adequate mitigants are put in place, should such securities be allowed in the future.

Consequently, it has become necessary to provide the following clarifications about the implementation of SEC's Capital Market FinTech Strategy:

⁶³ Securities and Exchange Commission Nigeria, *Press Release On Cryptocurrencies* (11th February 2021) <https://sec.gov.ng/press-release-on-cryptocurrencies/> (Accessed 28th February, 2021)

1. *For the purpose of admittance into the SEC Regulatory Incubation Framework, the assessment of all persons (and products) affected by the CBN Circular of February 5, 2021 is hereby put on hold until such persons are able to operate bank accounts within the Nigerian banking system.*
2. *The planned implementation of the SEC Regulatory Incubation Guidelines for FinTech firms who intend to introduce innovative models for offering capital market products and services will continue.*

From the foregoing, it appears that the SEC intends to implement the policy position espoused by the CBN, which is the outright prohibition of any crypto-asset not issued by the Central Bank. However, it also appears that the SEC is open to the integration and use of crypto-assets within Nigeria. Unfortunately, in light of the joint prohibition of the use of virtual currencies by Deposit Banks, Non-Bank Financial Institutions and other financial institutions, and the suspension of all registrations related to crypto-assets, it appears the regulatory progress within the Nigerian crypto-asset space has ground to a halt for the foreseeable future.

Effectiveness or otherwise of current regulatory measures available in Nigeria,

Effective regulation should improve market security for all participants, create standardised processes, and introduce confidence among market participants. On the other hand, ineffective regulation holds the capacity to stifle growth and innovation and make it difficult for new players to enter the space. Eventually, improper regulation ends up creating incentives for regulatory evasion or it suffocates the market.

An examination of the registration requirements by the SEC reveals that the SEC seeks to bring a higher degree of accountability and transparency into the market. However, the rules stipulated in Rule 279 of the SEC Rules were designed for the regulation of traditional securities issued by public companies through traditional financial intermediaries.

In determining the effectiveness of the regulatory efforts of SEC, we shall examine the regulatory regime with reference to the following objects of regulatory activities.

1. The prevention of fraud and illicit behavior,

Traditional models of securities regulation focus on regulating highly trained investment and financial professionals. These intermediaries are strictly regulated and must maintain certain licenses and registrations under the Law. To a registered financial and investment professional, any regulatory sanctions may signify the end of their business, with the attendant financial and reputational loss. This creates a disincentive to engage in, or support fraudulent and illicit behavior.

On the other hand, the Crypto-asset market was principally developed to disrupt traditional regulatory schemes, reduce capital raising costs, and avoid intermediaries. Market participants, who range from highly sophisticated miners to everyday speculators, tend to lack a financial background. This creates an incentive to evade regulation.

There is substantial likelihood that the current regulatory regime may only capture large issuers who seek to enjoy the profits available in the Nigerian market. The challenge lies in the inability of the regulator to regulate the individual blockchain. This may make it very expensive for regulators to identify illicit activity, unless the transaction exceeds a particular transaction size.

2. Consumer protection

Traditional financial regulations are designed to manage centralized transactions between recognizable individuals. These transactions are usually intermediated by regulated professionals operating within regulated exchanges.

The lack of regulation, moral hazard issues related to ICOs can be mitigated when the initial coin offering itself is properly designed. However, since a large number of ICOs have been offered by young, untested businesses that are still working on introducing final product or platform to the market. This means that the information available to subscribers during the ICO may be incomplete, subject to change and difficult to verify.

3. Taxability of Transactions

ICO promoters have been known to collaborate on projects from various geographical locations globally. Furthermore, ICOs have been launched without the incorporation of a business within any jurisdiction. This is in consonance with the philosophy of decentralization that forms the basis of blockchain technology⁶⁴.

The regulatory statement issued by SEC, when read together with the provisions of the SEC Rules and Regulations, 2013 imply that the issuer or sponsor should be a registered company or the employee of a registered capital market operator within or outside Nigeria. In order for an ICO to be taxable within Nigeria, the Companies Income Tax Act provides that the issuer must either be incorporated in Nigeria or conduct a substantial amount of business activity within Nigeria.

The Finance Act brings to bear substantial changes to the state of the law with respect to non-resident persons who generate profits from business dealings with Nigerian customers, including those that provide digital, technical and other related activities without having a physical presence or agent in Nigeria. It also enables the FIRS to adopt technology in gathering information, administering and collecting taxes on certain digital transactions with non-residents, among other changes.

The Finance Act 2020 also provides that where a non-resident individual generated gains or profits as a result of carrying on a business in Nigeria which comprises of technical, management, consultancy or professional services, such profit or gain shall be deemed to be derived from and

⁶⁴ Adhamia Saman, Giudici Giancarlo, Martinazzi Stefano, 2018 Why Do Businesses Go Crypto? An Empirical Analysis Of Initial Coin Offerings *Journal of Economics and Business*, Vol 100, 64–75 https://moodle.epfl.ch/pluginfile.php/2721162/mod_resource/content/1/1-s2.0-S0148619517302308-main.pdf (Accessed 24th January, 2021)

taxable in Nigeria only if that non-resident individual has a significant economic presence (SEP) in Nigeria. The Finance Act requires non-resident companies (NRCs) that are taxable in Nigeria, including those that only create a Digital SEP, to file CIT tax returns comprising complete audited financial statements in respect of both their global operations, in addition to financial statements relating to their Nigerian operations. The financial statements should be certified by an independent Qualified accountant in Nigeria.

While the existing regulatory regime ensures that transactions carried out by a duly registered sponsor should be taxable, the decentralized blockchains may make enforceability very challenging for government agents. It could also be very difficult to tax utility tokens due to their unique characteristics.

4. Enforceability of economic sanctions.

ICO projects are characterized by strong information asymmetry and a lack of transparency. Given the anonymity of Crypto-asset transactions, and the fact that most ICO's are issued over the internet, it is difficult to see how the SEC intends to identify transactions

Conclusion

This study analysed the approaches taken by various jurisdictions towards the regulation of Initial Coin Offerings (ICOs), evaluating these approaches against the generally established regulatory goals of fraud prevention, consumer protection, taxability, and enforceability of economic sanctions. We briefly considered the historical context in which crypto-currencies have emerged, the ICO issuance process, as well as the similarities and differences between Initial Coin Offerings and Initial Public Offerings.

The study compared the regulatory responses to Crypto-asset development in the United States with the Nigerian position. We noted that the United States Securities and Exchange Commission has espoused a policy of cautious tolerance towards crypto-assets. The approach taken by the US SEC has been to compel registration of all crypto-asset offers, including ICO's. This is based on the classification of crypto-assets as investment contracts, which consequently fall under the broad classification of securities as defined under United States Law. We reviewed the case of Munchee, Inc, showing the application of the **Section 2(a)(1)** of the **United States Securities Act (1933)** by the United States Securities and Exchange Commission.

The Nigerian Securities and Exchange Commission initially espoused a policy of cautious tolerance, with a view to creating an enabling environment for payment systems innovation. However, in view of the policy thrust of the Central Bank of Nigeria, which favours total prohibition of all crypto-assets which do not originate from the CBN, the Nigerian SEC has toed the line of prohibition. As a consequence, the regulatory progress of crypto-currencies have ground to halt within Nigeria.

The study proceeded to determine the effectiveness or otherwise of current regulatory measures available in Nigeria. In the recommendation section, this study will identify the most effective regulatory policy required to govern Initial Coin Offerings in Nigeria.

Recommendations

In view of global developments within the technology marketplace, including innovations related to borderless finance and payments, crypto-currencies are an inexorable link in the chain of progress. Whilst it is acknowledged that states will desire to maintain their monopoly on currency issuance and financial system management, outright prohibition of crypto-asset transactions may amount to playing the ostrich. Due to the decentralized nature of these assets and the anonymous character of the transacting parties, it is relatively simple to circumvent state restrictions on these transactions. All a party has to do is to route the crypto-asset ICO to a country with more favourable policies, convert its crypto-currencies to US dollars or any other globally accepted fiat currency, and transfer the funds into Nigeria without being in breach of the law.

Regulators may employ the following measures towards the effective regulation of ICO's

1. Creation of a special system and processes for registration of crypto-currencies and other crypto-assets. This is because, the current regulations are created for the regulation of traditional securities and traditional public offerings.
2. Regulation of financial intermediaries and points of intersection between crypto-assets and fiat currencies in order to ensure compliance with AML/CFT prevention initiatives. This will create transparency in token value and the identity of token purchasers.
3. Placing restrictions on the amounts which may be raised through an ICO and requiring transparency of the total number of tokens in circulation and in the sale.
4. Placing a time limit on an ICO issue. This should facilitate consumer protection by maximizing the breadth of regulatory focus at a given time. It should also limit the amount of damage which may be inflicted by an unscrupulous issuer.
5. Creating systems and processes distinctly suited for the regulation of the smart contracts which underlie the issuance and management of crypto-currencies and crypto-assets generally. These systems need to be converted into computer codes for the purpose of immediate execution in the event that certain conditions occur.
6. Adopting regulatory instruments that impose a tax on anonymous transactions within an ICO. This should create an incentive for participants to waive their anonymity.